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INDUSTRY · INDUSTRY · GAMES

Video Games

Report of 11 Oct 2026 Price at research 80 companies **SELECTIVE · NETEASE · NINTENDO**

GTA VI lifts the industry's sales, not its economics. The cheap franchise owners are in Asia; the famous one is fully priced.

WHY

- The market grows about 6% a year and player numbers 3 to 4%. Mobile in-app spending fell 2% in the first half of 2026 while downloads fell 12%.
- Profit is concentrated: Capcom, NetEase, Tencent and Konami earn operating margins of 31 to 42%. Take-Two, Ubisoft, Embracer and Roblox report losses.
- Over five years the winners were owners of old franchises with strict budgets (Konami +272%, Capcom +199% in yen). Growth stories and serial acquirers lost 32 to 92%.

SIGNALS TO WATCH

- ☐ Memory chip costs pushing console prices higher again
- ☐ GTA VI sales falling short and dragging console spending with them
- ☐ New rules in China on game approvals or spending
- ☐ AI tools that let small teams build large games
- ☐ Another large buyout that resets what franchises are worth

> **NEXT CHECKPOINT**
> Take-Two results on 5 November 2026 and the GTA VI launch on 19 November.

DATES TO TICK OFF

	WHEN	WHAT	WHAT TO CHECK
☐	29 Oct 2026	**Roblox Q3 2026 results**	Bookings were guided down 14 to 18%. Is the decline slowing, and is full-year guidance restored?
☐	05 Nov 2026	**Take-Two Q2 fiscal 2027 results**	Is the $8.0 to $8.2bn bookings guidance raised ahead of GTA VI?
☐	19 Nov 2026	**GTA VI launch**	First sales figures, and whether console sales pick up with it.
☐	10 Jan 2027	**Refresh the verdict**	It turns 90 days old; rerun the research before relying on it.

THE FULL REPORT · VIDEO GAMES · 11 OCT 2026

Date: 2026-10-11 · **Framework:** value-chain scan + Buffett / Munger / Duan Yongping / Li Lu **Scope:** everyone who makes, sells or carries video games: publishers and studios, console and store owners, mobile game companies, engines and advertising tools, hardware and retail. Prices are closes of 9 Oct 2026 unless stated. **Why now:** Grand Theft Auto VI launches on 19 November 2026. This report asks whether that makes the industry a good place to invest, and where in the chain the money ends up. Companion report: Take-Two Interactive research. **Information richness: A for the large US, Japanese and Hong Kong listings** (decades

of filings, wide coverage) · **B for Korean and mainland Chinese companies** (good filings, thin English coverage; figures here come from data aggregators) · **C for the private companies** that matter most on PC and mobile (Valve, Epic Games, miHoYo, Scopely, and Electronic Arts since August 2026)

> **AI research limitations:** an AI finds far more material on large, English-language companies, so it tends to recommend them. Three of the best businesses in this industry (Valve, Epic, miHoYo) cannot be bought at all, and several of the cheapest are in Korea and China where this report relies on aggregator data. Only Take-Two received a full valuation. For every other company the figures are a snapshot: enough to rank, not enough to buy on. Not investment advice.

> **Currency and your money:** this report quotes each share in its own currency. Take-Two $213.44 ≈ €190.26 ≈ 1,016 lei · NetEase ADR $124.24 ≈ €110.74 ≈ 592 lei · Sony ADR $24.12 ≈ €21.50 ≈ 115 lei · Nintendo ADR $13.10 ≈ €11.68 ≈ 62 lei · Tencent ADR $54.60 ≈ €48.67 ≈ 260 lei. National Bank of Romania reference rates of 9 Oct 2026: 1 EUR = 5.3414 lei, 1 USD = 4.7612 lei. Romanian inflation was 6.2% a year in August 2026 (INS). The National Bank of Romania forecasts 6.1% for end-2026 and 3.4% for end-2027. Figures in lei and euros are conversions at that day's rate and move with it.

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0. The short answer to the thesis

The thesis was: *the biggest game ever made is about to launch, so game companies should be a good investment.*

PART OF THE THESIS	VERDICT	WHY
GTA VI will be very large	**Right**	Take-Two guides to $8.0 to $8.2bn of bookings, up about 20%. Analyst forecasts run from 35 to 70 million copies in the first months.
It lifts the whole industry	**Partly**	Newzoo expects console revenue of $46.9bn in 2026, up 5.1%, and says it would fall without GTA VI. One game is holding up a segment.
The industry is growing fast	**No**	$213.9bn in 2026, up 6.1%. Players grow 3 to 4% a year. Mobile, the largest part, saw in-app spending fall 2% in the first half of 2026.
So the shares do well	**Not as a group**	The two sector funds are down 16% and 17% in a year. The S&P 500 is up 16%. Over five years one fund returned +53% and the other -2%, against +78% for the index.
So buy the company that makes it	**Not at this price**	See the Take-Two report: about $168 of base value against a $213.44 price.

What makes October 2026 interesting is that the sector is out of favour. Console prices are rising because memory chips are scarce, Roblox has lost almost two thirds of its value, a Google demonstration of AI-generated game worlds knocked the whole group in January, and Chinese and Korean publishers trade at 8 to 14 times earnings. A hit-driven industry is rarely a comfortable place to invest. It is a better place to look when nobody wants it.

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1. Investment logic chain and validation

1.1 The chain

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Games are the largest paid entertainment medium ($214bn a year)
    → The number of players has almost stopped growing (3 to 4% a year)
        → Growth now comes from spending per player, inside games people already play
            → Time and money pile into a few "forever" franchises
              (Grand Theft Auto, Call of Duty, Fortnite, Honor of Kings, Mario, NBA 2K)
                → Making a new one costs more every year, the shops keep about 30%,
                  and consoles are getting dearer because of the memory shortage
                    → Winners: owners of old franchises with strict budgets,
                       and the platforms that collect the 30%
                    → Losers: mid-size publishers without a franchise, mobile studios
                       that rent their players through advertising, hardware assemblers
```

1.2 Link-by-link validation

LINK	ASSUMPTION	EVIDENCE	HOLDS?
Large market → slow player growth	The audience is close to saturated	Newzoo: players +4.4% in 2026, then 3.2% a year to 2029	Yes
Slow growth → spending per player	Revenue grows faster than players	Market +6.1% against players +4.4%. But Sensor Tower counts mobile in-app spending at about $40bn in H1 2026, **down 2%**, with downloads down 12%. Newzoo forecasts mobile +6.8% for the year. The two do not agree.	Partly
Spending concentrates in a few franchises	Old games keep earning	GTA is 12.4% of Take-Two's revenue thirteen years after GTA V. 84% of the copies Capcom sold last year were older titles (49.46M of 59.07M). 78% of Take-Two's bookings are spending inside games.	Yes
Costs rise for everyone else	Budgets, fees and hardware	Take-Two carries $2.15bn of development cost for unreleased games. Microsoft says memory and storage costs rose more than 2.5 times. US console unit sales in August were the lowest for that month since 2013.	Yes
Winners are franchise owners and platforms	Margins show it	Operating margin, last twelve months: Capcom 41.7%, NetEase 35.2%, Tencent 33.3%, Konami 30.8%, Krafton 29.7%. Take-Two -1.4%, Ubisoft and Embracer in loss.	Yes
Platforms keep their 30%	The toll is safe	Under pressure. US courts forced Apple to allow outside payment links, and Google is reported to have cut its fee to 20% after settling with Epic. Good for mobile publishers, bad for the two stores.	Weakening

1.3 Validation events that have actually happened

DATE	EVENT	WHAT IT SHOWS
Oct 2023	Microsoft completed its purchase of Activision Blizzard	The largest franchise owners are being taken out of the public market
4 Aug 2026	Electronic Arts taken private for $55bn by Saudi Arabia's Public Investment Fund, Silver Lake and Affinity	A private buyer paid 6.9 times bookings and 21.5 times operating cash flow for a mature franchise owner
2025 to 2026	Tencent put €1.16bn into Ubisoft's Vantage Studios for about a quarter of it	Even a failing publisher's franchises (Assassin's Creed, Far Cry, Rainbow Six) have buyers
30 Jan 2026	Google showed its Genie AI world-builder. Unity -24%, Roblox -13%, CD Projekt -8.7%, Take-Two -7.9% in a day	The market fears that making games gets cheap. Nothing has been lost to AI yet.

DATE	EVENT	WHAT IT SHOWS
Apr to Sep 2026	Sony, Microsoft and Nintendo all raised console prices. Switch 2 went from $449.99 to $499.99 on 1 Sep	Hardware gets dearer six years into a cycle, the opposite of every earlier one
May 2026	Nintendo forecast revenue -11.4% and net profit -26.9% for the year to March 2027, citing about ¥100bn of extra cost. Shares fell 8% in a day	The memory shortage reaches profits
25 Jun 2026	GTA VI priced at $79.99, pre-orders opened	A new price ceiling for big games, set with restraint
Jul to Aug 2026	Roblox guided bookings down 14 to 18% for Q3 and withdrew its full-year forecast after mandatory age checks	A platform's growth can stop for reasons that have nothing to do with games
Aug 2026	Tencent's domestic games revenue +17% in Q2. Capcom reported a ninth straight year of record profit in May	The franchise owners in Asia are doing well

2. Value-chain map

2.1 Structure

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INPUTS AND TOOLS
  Chips and memory        Nvidia, AMD, Micron, Samsung, SK Hynix  (set what consoles and PCs cost)
  Engines                 Unity · Unreal (Epic Games, private)
  Advertising tools       AppLovin · Unity Vector · Google · Meta   (how mobile games find players)

CONTENT: THE FRANCHISE OWNERS
  Western, large budget   Take-Two · [Electronic Arts, private] · [Activision, inside Microsoft]
                          Ubisoft · CD Projekt · Embracer · Paradox
  Japan                   Nintendo · Capcom · Konami · Bandai Namco · Square Enix · Sega Sammy · Koei Tecmo
  China                   Tencent · NetEase · [miHoYo, private] · Century Huatong · 37 Interactive
                          Giant Network · G-bits · Perfect World · XD · Kingsoft
  Korea                   Krafton · Nexon · NCSoft · Netmarble · Pearl Abyss · Shift Up
  Mobile and casual       Zynga (Take-Two) · Playtika · Sea (Garena) · Aristocrat
                          [Scopely, Playrix, Dream Games, Moon Active, Supercell: private or inside Tencent]
  Player-made worlds      Roblox · [Fortnite, inside Epic]

PLATFORMS: THE TOLL COLLECTORS (about 30% of what players spend)
  Console                 Sony (PlayStation) · Nintendo · Microsoft (Xbox)
  PC                      Steam (Valve, private) · Epic Games Store · Tencent WeGame
  Mobile                  Apple App Store · Google Play

HARDWARE AND RETAIL       Logitech · Corsair · Turtle Beach · GameStop
AROUND THE EDGES          Streaming: Twitch (Amazon), YouTube, Huya, Bilibili · Funds: ESPO, HERO
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2.2 Business characteristics by segment

SEGMENT	HOW IT EARNS	OPERATING MARGIN	STRUCTURE	BARRIER	CYCLICAL?
Console and PC stores	A cut of every sale, plus subscriptions	High on the store, low or negative on the hardware	Three consoles, one dominant PC store	Installed base, exclusive games	Hardware yes, store less
Mobile stores	A cut of every purchase	Very high	Two	Owning the phone	Low, but fee under legal attack

SEGMENT	HOW IT EARNS	OPERATING MARGIN	STRUCTURE	BARRIER	CYCLICAL?
Franchise owners, console and PC	Game sales plus spending inside games	30 to 42% for the best, losses for the rest	A dozen that matter	Franchises and craft	Strongly, around releases
Mobile and casual publishers	In-app purchases and ads, after heavy advertising spend	10 to 25%, falling	Crowded	Weak. Players are rented through ads	Medium
Player-made platforms	A cut of spending in worlds built by users	Loss-making on reported profit	Two	Network of creators and players	Medium, plus safety regulation
Engines and ad tools	Licences and a share of ad spend	From losses (Unity) to 77% (AppLovin)	Two engines, a few ad networks	Developer habit, data	Follows mobile ad budgets
Console hardware	Sold near cost	Thin	Three	Scale	Yes, and now squeezed by memory prices
Peripherals and retail	Selling boxes	Low	Fragmented	Little	Yes

2.3 The chokepoints

1. **Franchises that people return to for a decade or more.** There are perhaps twenty in the world. They cannot be built quickly at any price: Take-Two's Zynga purchase ($12.7bn, $5.9bn written off) and Ubisoft's collapse show what happens to those who try to buy or rush them.
2. **The store.** PlayStation had 125 million monthly users in June 2026 and takes its cut of every game, including GTA VI. Sony carries none of the development risk of the games it sells. Steam does the same on PC with a record 42 million simultaneous users, and it is private.
3. **Memory chips.** This is the supply bottleneck of 2026, but the profit from it goes to chip makers. For the games industry it is purely a cost.

The uncomfortable finding: the two best positions in the chain are partly closed to investors. The best store on PC is private, and the largest Western franchise owners after Take-Two have left the market.

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3. Company scan

Market values are in US dollars from CompaniesMarketCap (9 Oct 2026), checked against StockAnalysis for the largest. Price changes are in each share's own currency, from Yahoo Finance daily closes: "1y" is the close of 9 Oct 2025 to the close of 9 Oct 2026 and "5y" starts at the close of 8 Oct 2021 (Korean shares: from 2 Oct 2025, the last trading day before a holiday week). **"1y" and "5y" for Japanese shares are in yen, and the yen lost 27% against the euro over those five years** (130 to 177 yen per euro), so a euro investor kept roughly three quarters of those gains.

3.1 Platforms and conglomerates with a large games business (Tier 4)

COMPANY	TICKER	MARKET VALUE	1Y	5Y	WHAT IT IS
Microsoft	MSFT	$3,973bn	+2%	+82%	Xbox, Activision, Minecraft, Game Pass. Games are a small part of the whole.

COMPANY	TICKER	MARKET VALUE	1Y	5Y	WHAT IT IS
Tencent	0700.HK / TCEHY	$487bn	-37%	-4%	The largest games company by revenue. Games were 32% of Q2 2026 revenue. Owns Riot, controls Supercell, and holds stakes across the industry.
Sony	SONY / 6758.T	$141bn	-19%	+12%	PlayStation: 95.3 million PS5 sold, 125 million monthly users. Also music, film, sensors.
AppLovin	APP	$93bn	-54%	+221%	Advertising engine for mobile games. No longer a game maker.
Sea	SE	$58bn	-49%	-71%	Garena (Free Fire) plus e-commerce and finance.
Aristocrat	ALL.AX	$25bn	-10%	+37%	Slot machines plus social casino games.

Apple and Alphabet earn large sums from game purchases in their stores but are not listed here as games companies. Nvidia (about eleven times its price of five years ago) sells the chips, and is a bet on AI, not on games.

3.2 Franchise owners: Western

COMPANY	TICKER	MARKET VALUE	1Y	5Y	P/E	NOTE
Take-Two	TTWO	$39.9bn	-17%	+23%	loss; 26.0 forward	GTA, NBA 2K, Zynga. Tier 1.
CD Projekt	CDR.WA	$6.7bn	-4%	+35%	45.0	The Witcher, Cyberpunk. Next big game targeted for 2028. Tier 2.
Embracer	EMBRAC-B.ST	$1.9bn	-21%	-81%	loss	Grew by buying 100 studios, then broke itself up. Tier 3.
Paradox	PDX.ST	$1.4bn	-19%	+4%	103	Strategy games with long lives. Tier 3.
Ubisoft	UBI.PA	$0.8bn	-48%	-90%	loss	Forecasts an operating loss of about €1bn. Best franchises now sit in a unit part-owned by Tencent. Tier 3.
Electronic Arts	private	$55bn (deal)				Bought out on 4 Aug 2026.
Smaller listed	Remedy, Frontier, 11 bit, PlayWay, Everplay, Stillfront, MTG	under $1.5bn each				Tier 3. Not analysed.

3.3 Franchise owners: Japan

COMPANY	TICKER	MARKET VALUE	1Y	5Y	P/E	OPERATING MARGIN	NOTE
Nintendo	7974.T / NTDOY	$59bn	-36%	+61%	19.9	19.7%	Also a platform. Tier 1.
Bandai Namco	7832.T	$23.6bn	+19%	+119%	25.3*	14.7%	Toys and games (Gundam, Dragon Ball, Elden Ring as publisher). Tier 2.
Konami	9766.T	$19.8bn	+3%	+272%	27.8	30.8%	eFootball, Metal Gear, Yu-Gi-Oh, plus gaming machines and gyms. Tier 2.
Nexon	3659.T	$13.0bn	-20%	+49%	14.4*	43.9%	Korean online games, listed in Tokyo. Tier 2.

COMPANY	TICKER	MARKET VALUE	1Y	5Y	P/E	OPERATING MARGIN	NOTE
Capcom	9697.T	$11.6bn	+3%	+199%	27.6	41.7%	Resident Evil, Monster Hunter, Street Fighter. Tier 2.
Square Enix	9684.T	$6.5bn	-11%	+45%	28.9*	16.9%	Final Fantasy, Dragon Quest. Tier 2.
Sega Sammy	6460.T	$4.2bn	+5%	+107%	17.0*	n/a	Sonic, Persona, plus pachinko. Tier 2.
Koei Tecmo	3635.T	$3.5bn	-21%	-34%	n/a	42.0%	Tier 3.

* single source (CompaniesMarketCap), less reliable. Where both sources were available they sometimes disagreed: Konami shows 16.3 there and 27.8 on StockAnalysis, and the StockAnalysis figure matches its own profit and market value.

3.4 Franchise owners: China and Korea

COMPANY	TICKER	MARKET VALUE	1Y	5Y	P/E	OPERATING MARGIN	NOTE
NetEase	NTES / 9999.HK	$79bn	-18%	+29%	16.5	35.2%	Mostly games. Tier 1.
Century Huatong	002602.SZ	$15.0bn	-35%	+83%	n/a	20.7%	Owns Century Games, second-largest mobile publisher by in-app revenue in H1 2026. Tier 2.
Giant Network	002558.SZ	$6.5bn	-46%	+112%	n/a	48.5%	Tier 2.
Krafton	259960.KS	$6.1bn	-38%	-60%	9.9	29.7%	PUBG. Tier 2.
37 Interactive	002555.SZ	$5.7bn	-21%	-20%	n/a	26.2%	Tier 2.
Kingnet	002517.SZ	$5.2bn	-40%	+271%	n/a	34.9%	Tier 2.
Kingsoft	3888.HK	$4.4bn	-23%	-19%	13.1*	n/a	Games plus office software. Tier 2.
G-bits	603444.SS	$3.7bn	-38%	-12%	n/a	40.2%	Tier 2.
NCSoft	036570.KS	$3.2bn	+2%	-62%	8.0*	39.5%	Tier 3.
Perfect World	002624.SZ	$2.9bn	-46%	-34%	32.8*	n/a	Tier 3.
XD	2400.HK	$2.4bn	-48%	-8%	11.0*	n/a	Also runs the TapTap store. Tier 3.
Netmarble	251270.KS	$2.0bn	-43%	-72%	5.0*	20.8%	Tier 3.
Pearl Abyss	263750.KQ	$1.5bn	-6%	-63%	8.6*	45.3%	Released Crimson Desert in 2026. Tier 3.
Shift Up	462870.KS	$1.3bn	-23%	n/a	10.3*	79.3%	Listed 2024. Tier 3.

Also listed and not analysed: Kunlun Tech, Zhejiang Jinke, Yoozoo, Ourpalm, Bilibili (9626.HK, -49% in a year), Huya, NetDragon, IGG, Kakao Games, Wemade, Com2uS, Gravity, International Games System (Taiwan), Gamania, Nazara (India).

3.5 Mobile publishers, player-made platforms, tools, hardware

COMPANY	TICKER	MARKET VALUE	1Y	5Y	NOTE
Roblox	RBLX	$34.4bn	-62%	-32%	Bookings guided down 14 to 18% in Q3. Net loss $1.0bn over twelve months, free cash flow $1.64bn. Tier 1 by size, Tier 3 by risk.
Unity	U	$20.6bn	+20%	-66%	Engine plus the Vector ad system, which passed $1bn of annual revenue. Loss-making. Tier 2.
Playtika	PLTK	$0.9bn	-35%	-92%	Social casino games. Tier 3.
GameStop	GME	$13.4bn	+10%	-39%	Retailer. Not a games business in the sense of this report.
Logitech / Corsair	LOGI / CRSR	n/a / $1.5bn	-10% / +72%	+12% / -47%	Peripherals. Tier 4 and Tier 3.
Others	DeNA, Mixi, GungHo, Gree, CyberAgent, DoubleUGames, DoubleDown, Skillz, GDEV	small			Not analysed.

3.6 Funds and private companies

FUND	TICKER	PRICE	1Y	5Y	NOTE
VanEck Video Gaming and eSports ETF	ESPO	$100.11	-16%	+53%	Broad: includes chip and platform companies. A European (UCITS) version exists; check with your broker.
Global X Video Games & Esports ETF	HERO	$27.63	-17%	-2%	Closer to pure game publishers.
S&P 500, for comparison		7,811.54	+16%	+78%	

Private companies that matter (possible future listings or buyers): Valve (Steam), Epic Games (Fortnite, Unreal), Electronic Arts, miHoYo (Genshin Impact), Scopely (owned by Saudi Arabia's Savvy Games), Playrix, Dream Games, Moon Active. Activision Blizzard, Bethesda, Riot and Supercell sit inside Microsoft and Tencent.

3.7 What a European retail investor can actually buy

COMPANY	EASIEST ROUTE	CURRENCY RISK
Take-Two, NetEase (ADR), Sony (ADR), Roblox, Unity	US exchanges	US dollar (NetEase earns in yuan)
Nintendo, Capcom, Konami	US over-the-counter ADRs (NTDOY, CCOEY, KONMY), often thinly traded, or German exchange listings	Yen
Tencent	Hong Kong, or the over-the-counter ADR (TCEHY)	Hong Kong dollar and yuan
CD Projekt, Embracer, Paradox, Ubisoft	Warsaw, Stockholm, Paris	Zloty, krona, euro
Krafton, mainland Chinese companies	Hard or impossible for most retail accounts	Won, yuan

4. Four-masters analysis of the leaders

4.1 Take-Two (TTWO): Information A

Covered in full in the company report. In short: Rockstar is one of the best assets in entertainment, half the company is a shrinking mobile business bought at too high a price, the shares cost 31 times this year's expected adjusted earnings, and insiders are selling. Base value about $168 against a $213.44 price.

Rating: ★★★ (watch list). Buy the franchise on a fall, not on the launch.

4.2 Nintendo (7974.T): Information A

- **Business (Duan):** makes its own consoles and the games that sell them. Switch 2 had sold 23.68 million units by 30 June 2026. Operating margin 19.7%.
- **Moat (Buffett):**

MOAT	STRENGTH	EVIDENCE
Brand / pricing power	★★★★★	Mario, Zelda, Pokémon. Games are rarely discounted.
Switching costs	★★★★	The games exist only on its hardware.
Network effects	★★	Limited.
Scale	★★★	Smaller than Sony or Microsoft, enough to run its own platform.
Technology / licences	★★★	Deliberately modest hardware.

- **Risk (Munger):** it is the one franchise owner that also carries hardware cost. Management forecasts revenue -11.4% and net profit -26.9% for the year to March 2027, with about ¥100bn of extra cost from memory, tariffs and shipping, and Switch 2 sales of 16.5 million units. If memory stays expensive, the squeeze lasts.
- **Management:** conservative and long-serving, known for cautious forecasts. Cash of ¥1.97tn is 21% of the market value. Grade A.
- **Valuation:** ¥8,146, 44% below its 52-week high. Trailing P/E 19.9, forward P/E 27.9 on the reduced forecast (about 22 once the cash is taken out), EV/EBITDA 13.4, dividend yield 2.0%.

Rating: ★★★★. The strongest franchises in the industry after a 44% fall, with a fifth of the price in cash. Not cheap on this year's profit, which is the reason it fell.

4.3 NetEase (NTES): Information A

- **Business:** China's second-largest games company, mostly its own franchises (Fantasy Westward Journey, Eggy Party, Identity V, Marvel Rivals). Operating margin 35.2%, return on equity 20.4%.
- **Moat:** franchises that have run for over twenty years in China (★★★★ brand, ★★★ switching costs, ★★★ scale).
- **Risk:** Chinese regulation of games can change without warning. The ADR structure adds legal risk for foreign holders. Results depend on hits abroad.
- **Management:** founder William Ding is the controlling shareholder. Pays a dividend (2.35%). Grade A-/B.
- **Valuation:** $124.24. Trailing P/E 16.5, forward 12.5, EV/EBITDA 8.7, price to free cash flow 10.4. Net cash of about $24bn is 30% of the market value.

Rating: ★★★★. The cheapest high-margin franchise owner in the scan. The discount is the price of China risk, and that risk is real.

4.4 Tencent (0700.HK): Information A

- **Business:** games were RMB 65.9bn of RMB 204.8bn in Q2 2026 (32%). Domestic games +17%, international flat. Owns Riot (Valorant, League of Legends), controls Supercell, and holds stakes in dozens of studios.
- **Risk:** capital spending rose 190% to RMB 51.8bn in the quarter on AI, and free cash flow was negative RMB 13.8bn. China regulation. Games are a third of the company, so this is not a pure bet.
- **Valuation:** HK$424.8, 36% below its high. Trailing P/E 14.1, forward 12.7.

Rating: ★★★ (Tier 4). A good way to own a third of a games giant cheaply, if you also want the other two thirds and accept the AI spending.

4.5 Sony (SONY): Information A

- **Business:** PlayStation is its largest division. 95.3 million PS5 consoles, 125 million monthly users, and a cut of every digital sale on the platform. Games profit rose 37% in the April to June quarter, helped by about ¥80bn of tariff refunds.
- **Why it matters for GTA VI:** Sony earns its store fee on every copy sold on PlayStation and on what players spend inside it afterwards, with none of the eight-year development risk. A rough estimate: 35 to 40 million copies, most of them on PlayStation, at $80 with a 30% fee, is several hundred million dollars of high-margin income in a few months. This is reasoning, not a company figure.
- **Risk:** PS5 unit sales fell from 2.5 million to 1.6 million in the latest quarter. The console is late in its life and dearer than at launch. Sony also carries film, music and chip businesses.
- **Valuation:** $24.12, forward P/E 17.7, EV/EBITDA 11.1, price to free cash flow 14.1.

Rating: ★★★ (Tier 4). The toll collector for GTA VI at about half Take-Two's multiple, diluted by everything else Sony does.

4.6 Capcom (9697.T): Information A

- **Business:** nine straight years of record profit. Sales of about ¥195bn and operating profit of ¥75.3bn in the year to March 2026. Resident Evil Requiem sold about 7 million copies in two months. 84% of copies sold were older games, which cost almost nothing to keep selling.
- **Moat:** franchises (★★★★), its own engine and a disciplined release rhythm (★★★★ scale and craft).
- **Risk:** the price. A weak year for new releases would meet a high multiple.
- **Valuation:** ¥4,393, close to its high. P/E 27.6, forward 27.5, EV/EBITDA 17.3.

Rating: ★★★ (watch list). The best-run publisher in the scan. Everyone knows it.

4.7 Konami, Krafton, Roblox, CD Projekt: short notes

COMPANY	BUSINESS IN ONE LINE	WHY INTERESTING	WHY NOT	RATING
Konami (Information A)	Football, Metal Gear and card-game franchises with a 30.8% margin and 21% return on equity	Revived old franchises with small budgets; +272% in five years	P/E 27.8 after that run; a third of the business is machines and gyms	★★★
Krafton (Information B)	PUBG, on PC and mobile	Forward P/E 8.0, EV/EBITDA 4.1, cash equal to 36% of the market value, 29.7% margin	One franchise, about nine years old; -60% in five years; hard to buy from Europe	★★

COMPANY	BUSINESS IN ONE LINE	WHY INTERESTING	WHY NOT	RATING
Roblox (Information A)	Platform where users build the games	62% below last year's price; $1.64bn of free cash flow	Bookings falling, guidance withdrawn, $1.0bn net loss, child-safety regulation	★★
CD Projekt (Information A)	The Witcher and Cyberpunk; 57.9% margin on old games	Two strong franchises, no debt	P/E 45 with the next game targeted for 2028	★★

4.8 Tools: Unity and AppLovin (Information A)

Unity (EV 10 times sales, still loss-making) is recovering because its Vector advertising system is growing 60 to 70% a year. AppLovin (forward P/E 15.4, operating margin 77%) fell 54% in a year after a revenue miss, a short-seller report and a class action. Both are advertising businesses that depend on mobile game budgets. Neither owns a franchise. **Ratings: ★★ each within this theme.** They belong in a report on advertising technology.

4.9 The ones to avoid: Ubisoft, Embracer, Playtika (Information A)

All three are cheap on sales and have lost 81 to 92% in five years. Each shows the same thing from a different side: franchises cannot be mass-produced (Ubisoft), cannot be assembled by acquisition (Embracer), and wear out when players are bought through advertising (Playtika). **Rating: ★ each.**

4.10 Mainland Chinese companies (Information B)

Giant Network (48.5% operating margin), G-bits (40.2%), Kingnet (34.9%), 37 Interactive (26.2%) and Century Huatong (20.7%) are profitable, and Century Huatong's overseas arm is now the second-largest mobile publisher in the world by in-app revenue. English-language information is thin, the shares are hard to buy from Europe, and this report did not examine them beyond the figures shown. **Not rated.** A short analysis here should not be read as a low opinion.

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5. Sector-level risk assessment

5.1 Systemic risk list

RISK	PROBABILITY	IMPACT	WHAT TO DO ABOUT IT
The chain breaks at "spending per player keeps rising"	Medium	High	Mobile in-app spending is already falling. Prefer companies whose income comes from old franchises, not new players.
Memory chips stay expensive and consoles get dearer still	Medium-high	Medium	Micron expects tight supply into 2028 (press reports). Hurts Nintendo and Sony hardware most, publishers less.
GTA VI disappoints	Low	High for a few months	It would hit console spending and sentiment across the group.
AI makes large games cheap to build	Low for now	Unknown	Franchises and communities are harder to copy than graphics. Engines and outsourcing are most exposed.
Regulation: China approvals, loot boxes, child safety	Medium	Medium-high	Already hit Roblox. Keep China exposure to a size you can lose.

RISK	PROBABILITY	IMPACT	WHAT TO DO ABOUT IT
Store fees fall	Medium	Good for publishers, bad for Apple, Google, and in time Sony and Valve	A reason to own publishers with direct sales to players.
Valuation	Mixed		Japan's quality names and Take-Two are full. China and Korea are cheap. The sector as a whole is not in a bubble.

5.2 Historical analogies

Hollywood. Film is the closest older industry: hit-driven, with rising budgets. Over decades the profit went to the owners of libraries and characters (Disney) and to distribution, not to the studios that bet on new films each year. Games are following the same path. Capcom earning 84% of its unit sales from older titles is a library business.

The industry's own last five years. This is the more useful evidence, and it is already in the tables above:

GROUP	FIVE-YEAR SHARE PRICE CHANGE	LESSON
Japan's franchise owners (Konami, Capcom, Bandai Namco, Sega Sammy)	+107% to +272% in yen (about +52% to +173% in euros)	Old franchises, small budgets, steady releases
Take-Two, NetEase, Nintendo	+23% to +61%	Good assets, ordinary returns from 2021 prices
Growth stories of 2021 (Roblox, Unity, Sea, Krafton)	-32% to -71%	Paying for growth that then slowed
Buyers and over-producers (Embracer, Ubisoft, Playtika)	-81% to -92%	Franchises cannot be manufactured
HERO fund / S&P 500	-2% / +78%	Owning the whole sector did not pay

Most investors in this industry lost money against the market over five years. The winners were not the companies with the biggest launches. They were the ones that spent the least to keep old franchises earning.

5.3 Bias check

- **Narrative:** "the biggest launch in entertainment history" is a perfect story. Perfect stories are usually in the price.
- **Anchoring:** many of these shares look cheap against their 2021 peaks. Those peaks were set during lockdowns and are not a reference.
- **Herding:** 28 of 29 analysts rate Take-Two a buy. Almost none write about Krafton or Giant Network in English.
- **This report's own bias:** it rates only what it could read. The Chinese and Korean mid-caps may deserve more than a table row.

> **Munger's question: how does an investor in this industry most often fail?** By buying the company with the most exciting game at the moment of greatest excitement. The second most common way is buying a publisher because it is cheap, when it is cheap because it has no franchise.

6. Long-run trend (Li Lu)

- **Civilization-level shift or a phase?** Neither. Games became the largest entertainment medium over forty years, and that shift is mostly complete in rich countries. What is left is slower: more spending per player, and new players in India, South-East Asia, Latin America and Africa where incomes are low.
- **Closest historical parallel:** film and television after 1980. A mature medium where technology keeps changing how content is delivered and franchise owners keep most of the value.
- **In 10 to 20 years:** fewer, larger worlds that people stay in for years. Consoles matter less as streaming and phones improve (Take-Two's CEO expects usable low-delay streaming within three years). Store fees end up lower than 30%.
- **Where winner-takes-most is likeliest:** stores on each device, and the top franchise in each genre.
- **What is most likely to be disrupted:** the middle. Mid-size studios, outsourcing, and tools, if AI does to game production what digital cameras did to film crews.

> **Li Lu's question: where does the value sit in 2046?** With whoever owns the characters and worlds people care about, and with whoever owns the relationship with the player. Take-Two, Nintendo, Capcom, Tencent and NetEase own the first. Sony, Valve, Apple, Tencent and Nintendo own the second. Everything else in the chain is replaceable.

7. Portfolio construction (framework output, not advice)

7.1 Illustrative structure

The framework asks for an allocation. It is shown to make the ranking concrete, and it rests on snapshots for every company except Take-Two.

LAYER	SHARE OF THE THEME	NAMES	SEGMENT	LOGIC
Core	50 to 60%	Nintendo, NetEase	Franchise owners with net cash	Strongest franchises after a 44% fall; cheapest high-margin publisher
Satellite	25 to 35%	Sony, Capcom, Tencent, and Take-Two only below about $168	Platform toll, quality operator, diversified giant, the GTA owner	Each is good and either diversified or fully priced
Option	5 to 15%	Krafton	Single-franchise value	8 times earnings with a third of the price in cash; can go wrong
Fund alternative	Instead of all of the above	VanEck Video Gaming and eSports (UCITS version in Europe)	Whole sector	For those who do not want to pick. Note the five-year record.

Reference levels (plain multiples on analyst forecasts from StockAnalysis, not valuations):

COMPANY	PRICE	FORWARD P/E NOW	PRICE AT 20 TIMES FORWARD EARNINGS	COMMENT
Take-Two	$213.44	26.0	See company report: base $168, margin of safety $126	Full valuation done
Nintendo	¥8,146	27.9	¥5,846	Forecast is depressed and widely seen as cautious; on trailing profit 20 times is ¥8,195

COMPANY	PRICE	FORWARD P/E NOW	PRICE AT 20 TIMES FORWARD EARNINGS	COMMENT
Capcom	¥4,393	27.5	¥3,191	
Sony	$24.12	17.7	$27.3	Already below
NetEase	$124.24	12.5	$199.6	Already far below; the gap is the China discount
Tencent	HK$424.8	12.7	HK$671	Already far below

7.2 Signals

SIGNAL	CONDITION
Add	Console prices stop rising and unit sales recover · Nintendo raises its forecast · Take-Two falls below about $168 after a good launch · Chinese approvals stay regular for another year
Reduce	Japan's quality names above 30 times earnings · mobile spending falls for a second half-year · another round of console price rises
Exit	A working AI tool that ships a commercially successful large game with a small team · a Chinese clampdown on spending in games · GTA VI delayed into 2027

7.3 Theme cap

No more than 5% of a portfolio. The industry is hit-driven, a handful of companies carry the theme, and four currencies (dollar, yen, yuan, won) sit between a Romanian investor and the result. The yen alone took a quarter off five years of Japanese gains.

8. Decision memo

Summary table

DIMENSION	CONCLUSION	CONFIDENCE
Logic chain	Holds, except that mobile spending is flat to falling and store fees are under pressure	Medium-high
Best segment (Duan's "right business")	Owners of old franchises with strict budgets	High
Widest moat (Buffett)	Nintendo's characters; Rockstar's Grand Theft Auto; the PlayStation and Steam stores	High
Biggest risk (Munger)	Paying launch-day prices for a hit, or buying a cheap publisher with no franchise	High
Long-run position (Li Lu)	Mature medium. Value sits with franchise and platform owners.	Medium-high
Valuation	Mixed: Take-Two and Japan's best are full, China and Korea are cheap, the sector as a whole is out of favour	Medium

Verdict: be selective. GTA VI lifts the industry's sales, not its economics. Favour franchise owners with cash (Nintendo, NetEase), use Sony for exposure to the launch itself, and wait for a better price on Take-Two.

What the four would say

> **Buffett (simulated):** "In the movie business the popcorn stand makes the money. Here the popcorn stand is the store that takes thirty percent, and the best one on PC is not for sale. So I would look at who owns the characters, and I would want to pay a price that assumes they have an ordinary year."
>
> **Munger (simulated):** "An industry where the index lost money for five years while the product got more popular tells you something. The customers did fine. The shareholders paid for it. Find the three companies that did not need to be heroic to earn forty percent margins and ignore the rest."
>
> **Duan Yongping (simulated):** "Nintendo understands what it is. It makes things people love and it does not chase. NetEase has been doing the right thing in its own market for twenty years. Those are right businesses. Whether the price is right depends on how long you can wait."
>
> **Li Lu (simulated):** "The interesting work here is in Asia, where there are profitable companies at eight to fourteen times earnings that nobody in the West reads about. That is where an information edge is still possible. It is also where you can be wrong for reasons that have nothing to do with the business."

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9. AI confidence versus investment certainty

	LEVEL	WHY
AI analysis confidence	High on the structure of the industry, medium on the ranking	The value chain and margins are well documented. Per-company figures outside Take-Two are snapshots from two data sites that sometimes disagree.
Investment certainty	Medium for the franchise owners as a group, low for any single name	Hit-driven results, currency exposure, and regulation in China.

Based on solid data: market size and growth (Newzoo, via coverage), Take-Two's filings, the Electronic Arts buyout terms, prices and multi-year price changes (Yahoo Finance), and the statistics shown for Nintendo, Sony, NetEase, Tencent, Capcom, Konami, Krafton, CD Projekt, Roblox, Unity and AppLovin (StockAnalysis).

Based on limited information: market values and P/E ratios marked with an asterisk (single source), everything about mainland Chinese companies, console hardware sales (press reports of Circana data), Valve's and the other private companies' size, the estimate of Sony's income from GTA VI, the euro-adjusted returns for Japanese shares, and the Hollywood comparison and company histories of Embracer, Ubisoft and Playtika (general knowledge).

What a reader should check first-hand before acting: the latest results of any company they intend to buy, whether their broker offers it and in which currency, and for Chinese companies the current state of game approvals.

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Personal research made with AI help. Not investment advice. Verify before acting.
https://turnivor.github.io/investment-reports/#video-games